

Management Discussion and Analysis

Overview

The Gamma Fund (the “Fund”) is formed to provide diversified deployment of capital into a managed long/short investment fund and into an actively managed commercial and multifamily real estate asset.

The Fund will provide speculative hedge-fund investors a risk-mitigated exposure to equity securities and digital asset instruments via exposure to real estate at a favourable valuation basis and allocation of tax losses through bonus depreciation. Similarly, the Fund will provide traditional real estate investors with an accelerated return on investment through the hybrid deployment model.

Hedge Fund

The Hyper-Alpha Capital’s Hedge Fund management targets risk-adjusted returns of a 35% per annum with a Sortino Ratio above 3.00 and Sharpe Ratio above 1.00. The Hedge Fund provides exposure to equity securities, commodities, and digital assets through both spot and derivative instruments on both centralised and de-centralised exchanges.

Market Dynamics

The Hedge Fund employs state-of-the-art AI-powered tools to enhance the discretionary trading process, by aggregating real-time news and market sentiment and leveraging publicly available information to maintain a competitive edge in identifying actionable opportunities and assessing risks.

Long Short Strategy

A core approach of the Hedge Fund is the long-short strategy, which capitalises on bullish views of fundamentally strong assets whilst hedging market exposure by shorting overvalued or weaker assets. This strategy reduces idiosyncratic and beta risk and seeks to maximise alpha.

Risk Management

The Hedge Fund operates within a defined risk-management framework that includes: (i) position-sizing limits calibrated to volatility and conviction, (ii) leverage caps applied at both strategy and portfolio level, (iii) drawdown-based de-risking triggers, and (iv) counterparty exposure limits across centralised exchanges and lending venues.

Structure

The Gamma Fund will purchase a limited partnership interest in HAC Genesis Limited Partnership, a Texas limited partnership (“Pooled Vehicle”), and the Pooled Vehicle will deploy into Hyper Alpha Capital’s trading arm – HAC Genesis Limited Company, a British Virgin Islands Company (the “Hedge Fund”).

Syndicated Real Estate

Over the past decade, real estate syndication has grown in popularity given the tax advantaged structures provided by Section 1031 exchanges and depreciation which provides investors with the arbitrage opportunity of tax deferrals and effectively “replacing” what would have been dollars paid to the tax man to investment dollars in real estate. However, in the past 3 years, the real estate syndication market has taken a series of blows primarily from interest rate hikes, inflation, and other factors.

Specifically, acquisitions that took place in 2020-2022 have a high risk of defaults due to cap rate compression from outsized valuations given the market conditions at that time. Further, floating interest rates have caused many of these assets to effectively be underwater which leads to operators of these assets being provided with three options: (i) recapitalise, (ii) sell the asset at a discount to par, or (iii) default and get foreclosed on.

These dynamics creates a compelling opportunity to acquire real estate assets at meaningful discounts to replacement cost and intrinsic value. With disciplined underwriting, the right basis,

and active asset management through operational improvements, repositioning, and professionalised property management, these acquisitions can deliver attractive going-in cap rates with substantial upside as fundamentals normalise.

The opportunity is further enhanced by the tax treatment available to real estate investors. The reinstatement of 100% bonus depreciation under the One Big Beautiful Bill Act (OBBBA, 2025) provides a powerful tax-advantaged structure, allowing eligible investors to accelerate deductions, shelter qualifying income, and materially improve after-tax returns, amplifying the appeal of entering the asset class at this point in the cycle.

Assets Targeted

The Fund Management will target multifamily properties that can be enhanced through value-add measures to drive up rents and improve quality of such property. With target cap rate of 6-7 and acquisitions primarily targeting Texas and surrounding states.

Leverage Utilised

The Fund anticipates leverage utilised to be between 55-70% loan-to-value (“LTV”) depending on asset type, going-in cap rate, debt-service coverage, and prevailing credit spreads. Leverage will be sourced through a combination of agency debt (where applicable), regional bank lenders, and private credit providers.

Allocation

The defining feature of this Fund is providing investors with asymmetric risk returns is the allocation of capital to both the Hedge Fund and real estate. This allocation will be re-balanced from time-to-time in order to ensure overall risk management, liquidity, and accelerating returns. For example, an allocation could be 60% to real estate and 40% to the Hedge Fund depending on the cap rate of the underlying property acquired, General Partner’s discretion, and market conditions.

In the event of drawdowns from the Hedge Fund, the rents from the real estate would offset losses from such drawdowns.

In the event the real estate asset requires additional capital in order to stabilise, liquidity will be provided to such real estate asset without the need for additional injection of capital from external sources.

In order to achieve this, the Fund will hold a reserve of capital that includes distributions from the Pooled Vehicle and real estate rents alongside capital raised but undeployed. Further, the Pooled Vehicle may extend an intercompany loan to the Fund at prevailing market rates, structured with priority return of capital before equity distributions.

Instrumentation

Investors in the Fund will be provided with a *modified* European-Style waterfall preference in return of capital before the General Partner receives back-end equity and further the General Partner will not charge separate management fees absent ordinary reimbursements of costs and expenses.

As follows, Investors will receive 100% of distributions made by the Fund until receipt of a 2x equity multiple, when upon time, their interest in the Fund will be extinguished and redeemed in full. This aligns the interests of the General Partner to ensure return of capital in a timely manner.

Note: The Hedge Fund charges a separate Asset Management Fee and Carried Interest, but such fee is charged to the Fund as a whole and is not a direct fee charged to an individual investors in this Fund.

Investors in the Fund will not be provided with right of redemption and will be locked-up until time of extinguishment after receipt of a 2x equity multiple.

Target Outcome

The Fund targets an aggregate 2.0x equity multiple to LPs over an approximate 5-year hold, based on assumed real estate exit cap rates, Hedge Fund performance in line with stated targets, and no material adverse market events. Actual results may vary materially, and no return is guaranteed.